

Memo: Q3 Conversion Intervention Plan

To: Head of Growth
From: Isha Jangid, Data & Business Analyst
Date: June 20, 2026
Re: Where to invest engineering effort for highest-ROI funnel improvement

Bottom line

A focused intervention on the **Engaged → Checkout Intent** stage will recover an estimated **\$19,716** on the 12,330-session sample analyzed — **2.3× higher ROI** than any alternative funnel fix. Recommend prioritizing this stage in the next sprint cycle.

Situation

We are losing the majority of users between the Engaged Browse and Checkout Intent stages of our funnel. Of 12,330 sessions analyzed, only 26% of engaged users transition to a value-tracked checkout page. Overall conversion sits at 15.47%.

Findings

The 4-stage funnel (strictly nested) shows the leak clearly:

Stage	Sessions	Conversion to Next Stage
1. Landed	12,330	95.3%
2. Engaged Browse	11,751	26.4% ← Biggest leak
3. Checkout Intent	3,100	61.5%
4. Purchased	1,908	—

Three behavioral drivers identified:

- PageValue is the strongest predictor of purchase.** Sessions with PageValue > 100 convert at 87%; sessions with PageValue = 0 convert at 3.9%. Strong evidence that early signaling of high-intent products drives outcomes.

2. **New visitors outperform returning visitors 1.8×** (24.9% vs 13.9%). Acquisition channels are delivering high-intent traffic; returning users may need re-engagement strategy.
3. **Special shopping days reduce conversion by 2.7×** (6.2% vs 16.5% on normal days). Price-comparison behavior likely — users browsing for deals but not converting.

Recommendation: Counterfactual revenue model

Modeling each intervention as a +10 percentage point uplift on a single stage (other stages held constant):

Rank	Intervention	Recoverable Revenue	Rationale
1	+10pp on Stage 2 → 3	\$19,716	Largest leak; biggest absolute volume to convert
2	+10pp on Stage 3 → 4	\$8,451	Smaller funnel, smaller gain
3	+10pp on Stage 1 → 2	\$2,563	Already converts at 95% — diminishing returns

Investing engineering effort in Stage 2 → 3 returns 2.3× more revenue than the next-best alternative.

Tactical options worth A/B testing: - Surface high-PageValue items earlier in the browse flow - Improve product-detail → cart conversion (cleaner CTAs, social proof, page-load speed) - Reduce friction between product browse and checkout initiation

Assumptions and caveats

- Revenue figures assume order value approximated by session-level PageValue. Actual AOV may differ.

- Counterfactual model treats stage interventions as independent; in practice, fixing one stage may shift behavior at adjacent stages.
- Sample is a 12-month snapshot from one e-commerce site; findings should be validated on our own traffic before deployment.
- The special-day conversion penalty is counterintuitive and warrants follow-up — possible the dataset overweights deal-comparison sessions.

Next steps (this week)

1. Validate the Stage 2 → 3 leak hypothesis against our internal funnel data
2. Design 3 specific A/B tests for the Engaged → Checkout transition
3. Estimate engineering effort and test infrastructure for each
4. Decision meeting Friday to prioritize the test backlog

Source: UCI Online Shoppers Purchasing Intention Dataset (12,330 sessions, 17 features). Methodology and code: github.com/ishajangidd/ecommerce-funnel-revenue-leak